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## CCPI based deflation continued to moderate in July 2025

Deflationary conditions eased for the fifth consecutive month in July 2025, with the year-on-year (Y-o-Y) change in the Colombo Consumer Price Index (CCPI, 2021=100)<sup>1</sup> recording a milder headline deflation of 0.3%, compared to the deflation of 0.6% in June 2025.

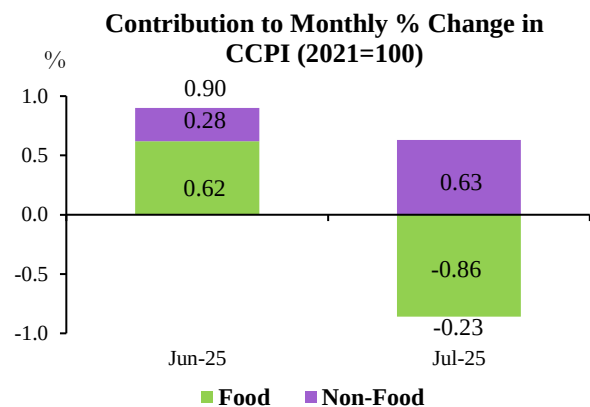
Food inflation (Y-o-Y) moderated further to 1.5% in July 2025 from 4.3% recorded in June 2025, while Non-Food deflation (Y-o-Y) continued to ease, recording 1.2% in July 2025 compared to 2.8% in June 2025.

On a month-on-month basis, the CCPI decreased by 0.23% in July 2025, for which the Food category contributed -0.86 percentage points and the Non-Food category contributed 0.63 percentage points.

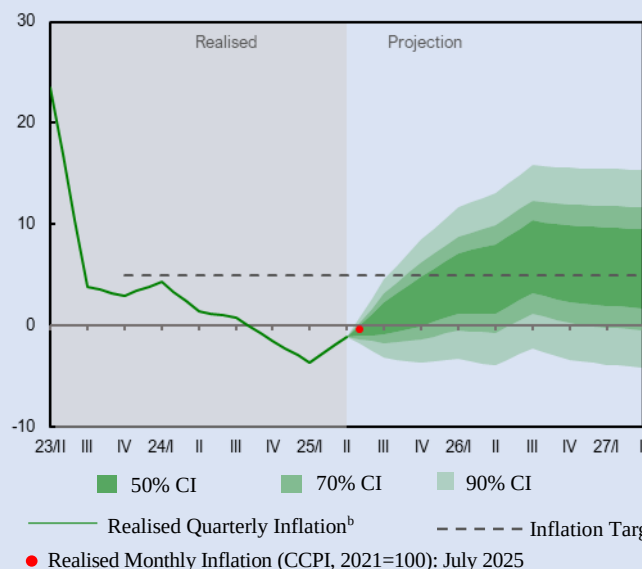
Meanwhile, core inflation (Y-o-Y), which reflects the underlying inflation trends in the economy, accelerated marginally to 1.6% in July 2025 from 1.5% in June 2025.

The latest price trends indicate that the temporary episode of deflation Sri Lanka experienced since September 2024 is about to end. Thereafter, inflation is expected to gradually accelerate towards the target of 5%, with the support of appropriate policies.

| Inflation<br>CCPI (2021=100) | June<br>2025 | July<br>2025 |
|------------------------------|--------------|--------------|
| Index Value                  | 194.5        | 194.1        |
| Monthly Change (%)           | 0.9          | -0.2         |
| Y-o-Y Inflation (%)          | -0.6         | -0.3         |



### Headline Inflation Projections<sup>a</sup> CCPI,<sup>b</sup> quarterly average, y-o-y, % Based on the projections during the July 2025 monetary policy round



a/ The projections displayed in the fan chart reflect the available data, assumptions and judgements made at the July 2025 forecast round. The inflation fan chart depicted here illustrates the uncertainty surrounding the baseline projections using confidence bands of gradually fading colours.

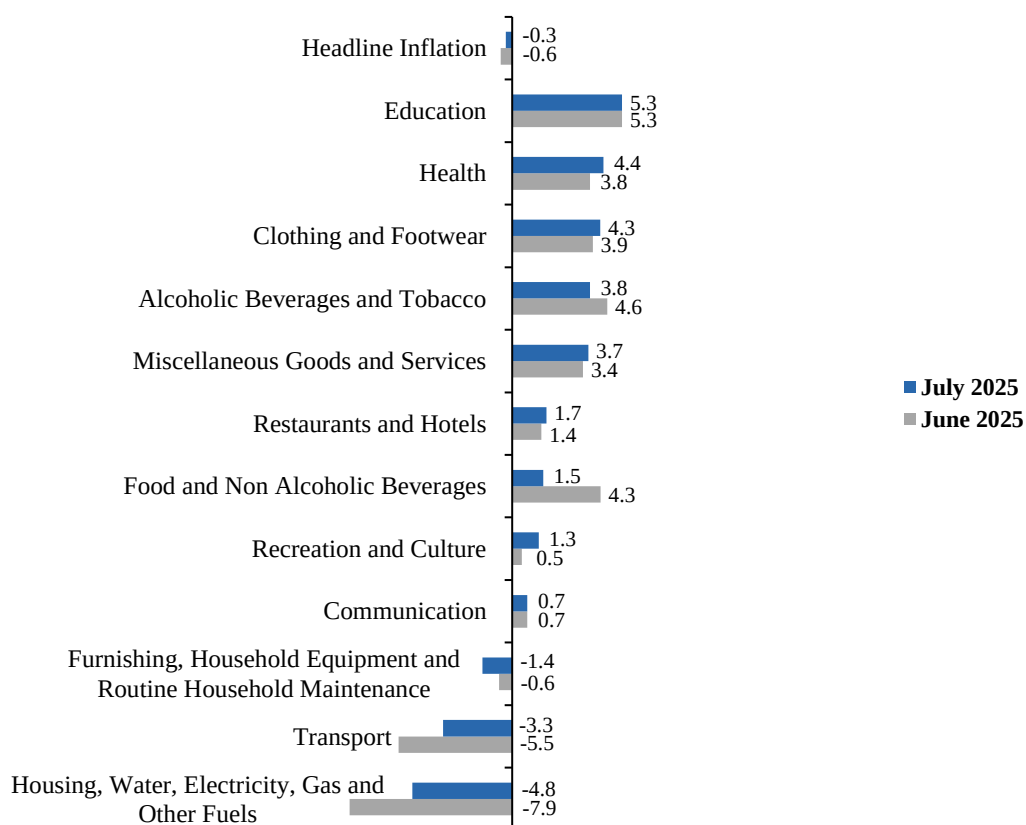
b/ Realised data in the fan chart are based on the CCPI (2021=100, seasonally adjusted). Projections are based on all available data.

Source: Central Bank Staff Projections

<sup>§</sup> The inflation target (5%) was agreed under the Monetary Policy Framework Agreement (MPFA) signed between the Central Bank and the Minister of Finance in October 2023.

<sup>1</sup> The Colombo Consumer Price Index (CCPI, 2021=100) is compiled by the Department of Census and Statistics (DCS) to indicate average changes in the prices of goods and services purchased by households in urban areas of the Colombo district.

### CCPI (2021=100) based Headline Inflation by Subcategory (Y-o-Y % Change)



### Movement of the CCPI (2021=100)

| Period |           | Index Number |             | Monthly % Change |             | Y-o-Y % Change |             | Annual Average % Change |             |
|--------|-----------|--------------|-------------|------------------|-------------|----------------|-------------|-------------------------|-------------|
| Year   | Month     | CCPI         | CCPI (Core) | CCPI             | CCPI (Core) | CCPI           | CCPI (Core) | CCPI                    | CCPI (Core) |
| 2024   | July      | 194.7        | 177.9       | -0.5             | 0.3         | 2.4            | 4.4         | 2.8                     | 2.7         |
|        | August    | 191.1        | 177.3       | -1.8             | -0.3        | 0.5            | 3.6         | 2.5                     | 2.7         |
|        | September | 190.9        | 177.6       | -0.1             | 0.2         | -0.5           | 3.3         | 2.4                     | 2.8         |
|        | October   | 189.9        | 177.5       | -0.5             | -0.1        | -0.8           | 3.0         | 2.2                     | 2.9         |
|        | November  | 189.4        | 177.1       | -0.3             | -0.2        | -2.1           | 2.7         | 1.7                     | 3.1         |
|        | December  | 191.7        | 177.1       | 1.2              | 0.0         | -1.7           | 2.7         | 1.2                     | 3.3         |
| 2025   | January   | 192.6        | 178.4       | 0.5              | 0.7         | -4.0           | 1.2         | 0.4                     | 3.2         |
|        | February  | 192.2        | 178.5       | -0.2             | 0.1         | -4.2           | 0.7         | -0.5                    | 3.0         |
|        | March     | 191.6        | 178.6       | -0.3             | 0.1         | -2.6           | 0.7         | -0.8                    | 2.8         |
|        | April     | 191.2        | 178.8       | -0.2             | 0.1         | -2.0           | 0.8         | -1.1                    | 2.6         |
|        | May       | 192.8        | 179.2       | 0.8              | 0.2         | -0.7           | 1.2         | -1.2                    | 2.4         |
|        | June      | 194.5        | 180.1       | 0.9              | 0.5         | -0.6           | 1.5         | -1.4                    | 2.1         |
|        | July      | 194.1        | 180.8       | -0.2             | 0.4         | -0.3           | 1.6         | -1.6                    | 1.9         |

Source: Department of Census and Statistics

Note: As per DCS, Y-o-Y inflation and monthly change are calculated using the rounded off index numbers.